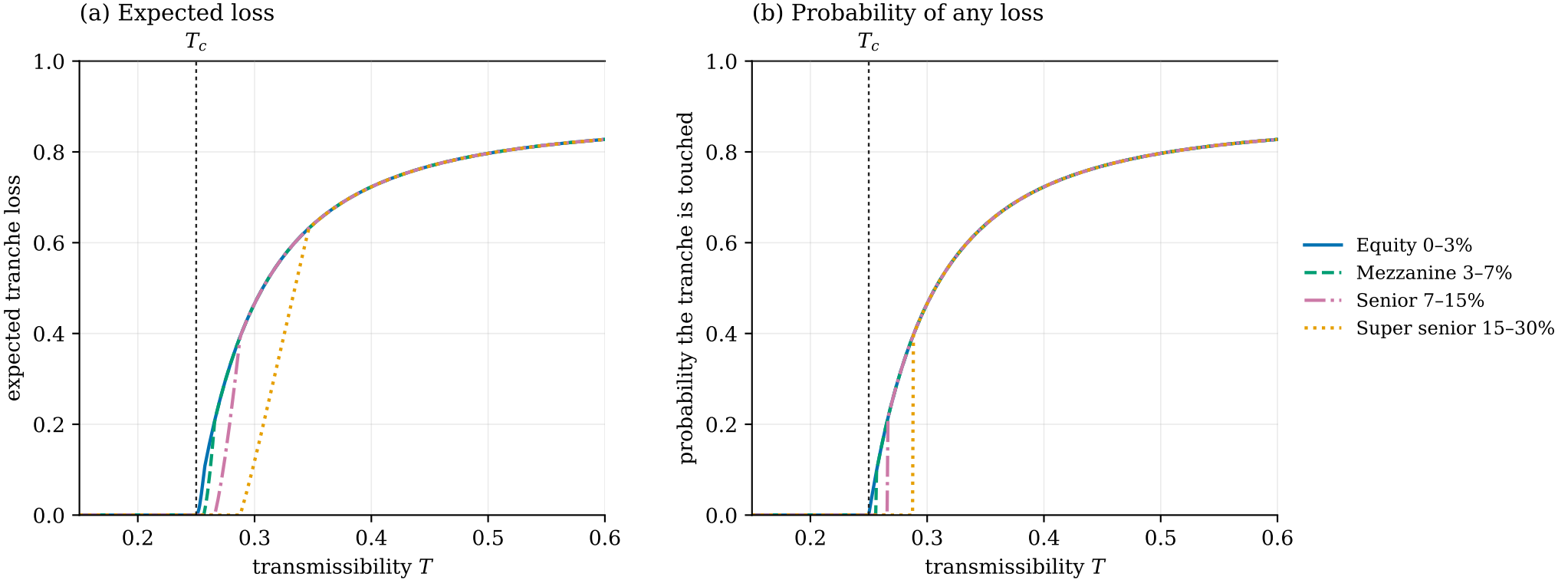
(a) Expected loss
T_c
1.0
0.8
0.6
0.4
0.2
0.0
expected tranche loss
0.2
0.3
0.4
0.5
0.6
transmissibility T
(b) Probability of any loss
T_c
1.0
0.8
0.6
0.4
0.2
0.0
probability the tranche is touched
0.2
0.3
0.4
0.5
0.6
transmissibility T
Equity 0–3%
Mezzanine 3–7%
Senior 7–15%
Super senior 15–30%